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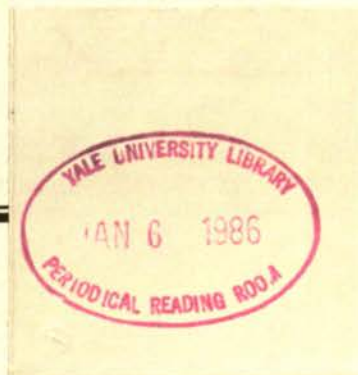
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Giamatti, the Media, and the Moral Majority

Richard Brookhiser

President Giamatti didn't get to deliver his blast at the Moral Majority in person, but the text was evidently electric enough all by itself, for the media reaction was swift and thunderous. *The New York Times* carried the story on page one the next day, and ran Giamatti's picture in "The Week in Review" over the headline "Humanist Begin to Rally / In Ancient Battle of Creeds." *Time* boxed excerpts from the speech in the midst of a hatchet job on Senator Helms; "A Humanist Hits Back" was the headline there. The subtext or implicit theme of all three stories was the same: "Academe Rallies to the Defense of Our Freedoms (or, for *New York Daily News* types, KLAN REVS VEX ELI PREZ). The class of '85, to whom the speech was addressed, started a petition to support their President, all in the best traditions of freedom, diversity, and independent mindedness.

So what is going on, apart from the kick-off to a Senatorial campaign? (I am assuming that Yale still plays the game that occupied it throughout Kingman Brewster's tenure—how high can our President go? *The Yale Daily News*, it will be remembered, ran a bogus "Extra" some time after the 1968 election reporting that Nixon had offered Brewster a Cabinet post. The *News* planned its hoax shrewdly, for though the piece was riddled with give-aways—Brewster was quoted as looking forward to playing cards with Spiro Agnew—the notion the Yale Presidents are entitled to Higher Things is so deeply entrenched that the story was briefly believed at Yale anyway).

Richard Brookhiser '77 is a Senior Editor of the *National Review*.

A speech could have been made out of the derelictions of the Moral Majority. The Moral Majority, and the religious right generally, have been with us since 1979, when they began beating the hustings for publicity and votes. Since then the copy has come in reams; votes have been more elusive. The Moral Majority holds opinions with which many Americans, not just liberals disagree, and it has had serious problems adjusting to its sudden prominence. A hostile but not unperceptive profile of Jerry Falwell in the *New Yorker* laid out the dilemma: "What had happened over the summer (of 1980) was that Falwell had developed an entirely different public from the one he was used to....there were so many conflicting demands on him. His own people were asking for the old truths...the Republican politicians were asking him to look like a tolerant, conservative sort of fellow; and the press was asking him to be consistent." Boners and blunders proliferated. Reverend Dan Fore, chairman of the Moral Majority's New York chapter, was quoted in the *Times* as saying that Jews had an "almost supernatural ability" to make money. When the storm broke on his head, he explained he had only meant it as a compliment, and that Christians have never been anti-Semitic. What about the Inquisition? "Those weren't Christians," he replied. "They were Roman Catholics." Meanwhile, on the West Coast, Reverend Tim LaHaye of San Diego, sometimes identified as a theorist of the religious right, was criticizing Aquinas for mucking with pagans like Aristotle.

But Giamatti did not say any of this. Indeed, he made

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'Millions of Americans also feel betrayed by their leaders, including (those at) the prestige universities.'

hardly any specific charges. This didn't leave him at a loss for words. (I apologize for quoting from a text which I am sure has by this time been thoroughly masticated; but it was an extraordinary performance.)

"A self-proclaimed 'Moral Majority' and its satellite or client groups, cunning in the use of a native blend of old intimidation and new technology...threaten through political pressure or public denunciation whoever dares to disagree with their authoritarian positions. Using television, direct mail and economic boycott, they would sweep before them anyone who holds a different opinion." Different opinions about what? "...which books are fit to read, which television programs are fit to watch, which textbooks will serve for all the young...There is no debate, no discussion, no dissent. They know."

Heavy stuff. But there was worse. "They have licensed a new meanness of spirit in our land, a resurgent bigotry that manifests itself in racist and discriminatory postures; in threats of political retaliation; in injunctions to censorship; in acts of violence." Giamatti elaborated—for the only time in his speech. "In December of 1980, the Anti-Defamation League of B'nai B'rith stated that reported anti-Semitic episodes...increased by 192%...the Klu Klux Klan has increased its visibility again."

There was, happily, an alternative, which Giamatti labeled pluralism. "Pluralism," he explained, "is not relativism...(but) the recognition that people of different ethnic groups and races and...religious and political and personal beliefs...have an obligation to forge the freedoms they enjoy into a coherent, civilized and vigilant whole...The rest of us (do) hold to ideas of family, country, belief in God, in different ways. The right to differ, and to see things differently, is our concern."

Unfortunately, no one, apart from Giamatti, *Time*, *The New York Times*, and the Yale freshman class, was defending this ideal. "What a shame such denials of our country's deepest traditions...are not faced candidly...by our political and religious leaders."* But Yale would do its bit—"maintain(ing) a spirit that is tolerant, respectful, and candid;" and, with a few sociological parting shots (Moral Majoritarians feel "bypassed by complexity"), Giamatti was done, and off to page one.

Logically and factually the speech was a mess. Most of the example of "intimidation" turn out, on closer inspection, to be politics-as-usual (which suggests that President Giamatti has some cramming to do before he shifts careers). If direct mail is intimidation, then we will have to arrest NARAL, NOW, the ACLU, the Audobon Society, and the national organizations of both political parties. If "public denunciation" is somehow un-American, a two thousand word speech publicly denouncing the Moral Majority is an odd way

of saying so. "Television" similarly falls under the category of free speech. Falwell and his friends pay for their air time. They receive, it is true, tax breaks not available to non-religious bodies—an unfair advantage of sorts. But that also flows from the First Amendment, as presently interpreted. (Maybe President Giamatti will call on the Reagan Court for relief.) The favorite form of "political pressure" wielded by the New Right is to mail to a congressman's constituents a record of his votes on selected issues. Considering the way most congressmen vote, this is embarrassing—but hardly unethical.

The President alleged two instances of genuine intimidation—the upsurge in anti-Semitic vandalism as documented by the ADL, and the resurgence of the Klan. This is what is known in my business as a smear, a species of distortion by which the practices of one group are attributed to another. Amusingly enough, Giamatti made his smear a week before Falwell got together with his friend and political ally Menachem Begin for a chat on the geopolitics of the Old Testament. Members of the Moral Majority are in fact required to be Zionists ("Every nation that has ever persecuted the Jews," Falwell preaches, "has felt the hand of God on them"), and the genuinely racist right-wing rags attack Falwell regularly for it. What about Rev. Fore? Dumb, definitely. Deceiving himself, possibly. (This also goes for those—including Falwell—who appointed him in the first place.) But in light of the Moral Majority's explicit pronouncements, the bald charge of anti-semitism, much less violence, won't wash.

Even Giamatti's rhetoric, usually so meticulous, spun out of control as he spoke, in H.P. Lovecraft imagery, of tips of icebergs "that sickened all decent Americans," and of tax-exempt Savonarolas rising from "the maw of this 'morality.'" (If I were a Savonarola in a maw, I would want to rise out of it too.) All in all, a disaster—vague, inaccurate, bellicose.

And yet President Giamatti is universally acknowledged to be judicious and well-spoken, careful and cool. The freshman address is not his usual mode. What made him go on such a bender?

Cultural status and power

The magazine for which I work saw in Giamatti's speech a preview of "the cultural clashes of the Eighties—a quarrel...about cultural status and power, about who shall be the guardians of the symbolic environment." In this context, the Moral Majority is indeed the tip—the small tip—of an iceberg.

The Giamatti speech accused the Moral Majority of frustration and bitterness, of feeling "bypassed." No doubt there are Americans who would feel unhappy in any modern society, and whose response would be to lash out. Liberals take comfort from lumping all their

critics into this class; it imposes on the opposition an air of futility, while putting the liberal in the role of an innocent fellow, just doing what needs to be done, going with the flow of history.

But millions of Americans also feel betrayed by their leaders, including the prestige universities. For the American elite—specifically, the liberal elite—has gotten into the habit of making decisions, not compelled by “history,” which, in their cumulative effect, strike even the easy-going and non-ideological American public as unnatural, imprudent, and just plain stupid. The elite, for its part, does not really understand or like the country whose affairs it has been managing. (“Small towns scare me,” one Hollywood script writer confided to Ben Stein in his invaluable *View from Sunset Boulevard*. “They voted for Nixon, didn’t they?”). This gap, which first yawned in the sixties, has by now reached chasmic proportions. In 1980, liberals in elective positions were summarily dismissed. On other fronts, different groups have taken different steps—libertarian steps such as direct mail and economic boycotts—to pressure the unelected remainder.

It isn’t as if the liberals had been passive. Joe Califano’s recently published memoirs of his stint at HEW reveal that, in the twilight of liberalism, the manager of the third largest budget in the world (after America’s and Russia’s) was forced to consider such questions as whether it was constitutional to restrict girl’s high school basketball games to half court. (HEW had already ruled, under Ford, against father-son banquets). Women and homosexuals—more accurately, some women, some homosexuals—got themselves accredited as victim groups, deserving the full civil rights treatment—which, as the blacks have developed it, begins with redress of grievances, real and imagined, then graduates to bids for privilege—affirmative action, “caucuses,” and so forth. The Supreme Court discovered a new right, “the right of privacy” (evidently the Founding Fathers wrote it in lemon juice, because it isn’t in the visible constitution), applied it to fetuses, and overturned fifty state laws. On the religious front, the World Council of Churches, which most recently met in East Germany, gave pots of money to Marxist terrorists in southern Africa, despite the fact that the non-terrorist president of Zimbabwe-Rhodesia was briefly a Methodist bishop. And liberal American Catholics and their echo chambers in the press made a hero of Hans Kung, who decided that he likes Jesus, but isn’t so sure about Christ.

Yale’s role

And where was Yale in all this? Political clergymen? Chaplain William Sloane Coffin took time off from Battell Chapel to go cheerleading in Hanoi. Intimidation? In 1972, a mob prevented William Westmoreland from speaking on campus; two years later, another mob did the same thing to National Review publisher William Rusher and racist geneticist William Shockley (Rusher was there to refute Shockley, and when, a year

later, he finally got his chance, he wiped the floor with him). Official Yale sat on its hands. Racist and discriminatory postures? My senior year, after a sit-in by *soi-disant* black leaders, the *Yale Daily News* caved in and signed over one page of the paper per week to the tub-thumpers.

President Giamatti, in his cooler moments, recognizes the errors of his fellow liberals. Most notably, he has worried about the increasing role of the federal government in higher education, and he has taken liberal academics to task for biting the only other hand that can possibly feed them—the free enterprise system. But Giamatti and others like him (in politics, one thinks of Senator Moynihan and Senator Hart) are reformers, not rebels. They want, not to shake the system up, but to fine-tune and preserve it—most especially, to preserve their position in it. They are not about to surrender their status perks to a bunch of peckerwoods from Lynchburg, Virginia. Actually, as I have said, the revulsion against the elite is far broader than the Moral Majority. But they make a convenient target. Some of them say stupid things about Jews, and, what is equally *infra dig*, they take the Bible literally.

This explains the media’s reaction to such a fevered speech. *Time* and the *New York Times* are an organic part of the same elite. They quarrel among themselves, sometimes bitterly. But whenever the average American goes on the march, they’ll load up their squirrel guns and stand with Old Hickory.

It’s too bad, because the issues are important, and pluralism, at least as Giamatti’s speech defined it, is an evasion, not an answer. Textbooks, for instance, do have to be written and assigned. The question remains, by whom? and to what end? Right now, the main impetus comes from the teacher’s lobby embodied by the NEA and firmly lodged in the DOE. Are we supposed to like the way they’ve been handling things? If we are opposed both to them and to local school boards, is there some third option?

Limits to toleration

Nor is it correct to say that Yale is—or should be—tolerant. Yale tolerates some things, does not tolerate others. To take an easy example, Yale is not tolerant of Nazism. If it turned out that a political science professor was pushing the *Collected Works of Houston Chamberlain*, he would be tossed out on his ear. (The Yale community did indeed bring pressure to bear on a teacher in the Russian Studies Department who turned out to have collaborated with the Nazis during World War II). Communism, on the other hand, is tolerated—at least to the extent that a Communist politician and author was approved to teach a seminar on W.E.B. DuBois in the spring of 1977. I’m not saying Nazis should be tolerated. I would prefer both of them to be thrown out. Because in fact they are not, on any sensible moral position, tolerable. Universities do not tolerate everything. They set limits, and they maintain a

Continued on page 18

Extending Democracy to the Workplace—and Beyond

David Chappell

"Democratic government, associated as it is with all the mistakes and shortcomings of the common people, still remains the most valuable contribution America has made to the moral life of the world."

—Jane Addams, "The Influence of Lincoln," *Twenty Years at Hull House*, (1910).

We are used to thinking of America as a democracy. Yet American laborers spend one half of their waking hours in a system that is fundamentally undemocratic. The modern American factory, organized on the principles of "scientific management," requires an almost feudal social structure. The managers sit on top of a strict hierarchical organization in which the majority has no power to effect change in a democratic manner. Workers, on the bottom, can strike (just as medieval peasants could revolt) but to do that they rely on organizations independent of, and opposed to, those who control the firm. Within the firm there are no inherent mechanisms for the workers to influence the way the factory operates.

This is no accident. In 1911, when Frederick W. Taylor laid down the principles of "scientific management," which became the catechism of industrial organization in twentieth century America, he believed that the worker qua machine produced the best results. Efficiency, Taylor asserted, derived from extreme specialization in which all thinking and supervision were reserved for "scientifically" trained manager. The less responsibility and creativity left to the worker, the better. Henry Ford's technological innovation, the assembly line, came to be the leitmotif of factory life: laborers performed a single, monotonous motion within a macroscopic process that speeded up and slowed down at the whim of distant strangers whose motives were inaccessible to the worker. The worker saw neither the beginning nor the end of the process. Accordingly, he lost his sense of identification with what he produced, and indeed his very sense of purpose. He became like Charlie Chaplin in *Modern Times*, as much like machine as a human being could be.

Alienation without Representation

One consequence of this alienation process has been the decline of the so-called protestant work ethic. Work in America has come to be viewed as no more than a necessary evil. Commercials for products to assuage the "monday morning blahs," TGIF ties, and the popular, thought expensive, "Weekend getaway" from the ratrace all indicate that we value work only for the

leisure it buys us. Yet we depend on our work for our livelihood, the vitality of our culture and the progress of our civilization. Why is it that instead of finding self-fulfillment in our work we find it alienating and boring?

It has everything to do with the limitations of democracy in America. If we had democratic control over our jobs as well as our government; if we had the responsibility collectively to solve the problems of our workplace, we could begin to find ways to alleviate the alienation and boredom that make it so unpleasant. We could no longer blame it all on the higher ups. Since present conditions also lead to carelessness and lack of pride, the democratization of the workplace could, perhaps, alleviate the pandemic absenteeism and tardiness, the shrinking productivity growth, the quality control problems and resistance to innovation that erode America's industrial strength.

Experimental evidence

Several experiments have shown that democracy adapts quite readily to the workplace. The workers in the experimental firms have not only shown that they can be trusted to make decisions but that their participation in decision-making improves production in measurable economic ways. That the firms which embarked on such experiments have not done so for any other reason than desperation makes the successes of the experiments all the more dramatic.

These firms, at a loss for remedies to their productivity problems—and other problems—turned to the democratic process for solutions. It is important to stress that we are not talking about those companies that turned to the U.S. government for a bailout, as Lockheed did in 1971 and Chrysler more recently. Nor are we concerned with those industries, such as the military-aerospace industry, whose principal customer is the government and which would not exist without the government's patronage. Rather, what we are concerned with here are those firms which have to some degree, independently and internally, brought democracy into their workplace.

One such firm is Texas Instruments. When it made a bid for a contract to build some radar equipment in 1968, TI found it had underestimated its projected costs. As production began, TI managers discovered that their actual costs exceeded their selling price. Not knowing what else to do, a foreman asked assembly line workers to review the problem and offer their suggestions. The workers held a meeting and after a few hours came up with a list of proposals which they believed would reduce production time by fourteen hours. Management, having failed to come up with a solution

'The reality of workplace democracy belies the fears of skeptics who dreaded letting "the monkeys run the zoo."'

itself, approved the plan. When the workers implemented their proposals they found that they had cut production time by more than 25 hours, a reduction of over one fourth. Initially, the company had done no better than break even, but now it operated at a profit.

Not satisfied with this success, TI workers requested another brainstorming session at which they came up with another list of suggestions. They received permission to implement these and cut production time again, this time by more than one half. The company's personnel director, M. Scott Myers, wrote in the spring 1968 *California Management Review* that TI's fortunate accident led to a change in the corporation's social structure. The new system improved on the old division of labor which had left all the thinking up to the managers. New workers became as achievement-oriented as managers, whereas before they had been, according to Myers, "unintelligent, uninformed, uncreative, irresponsible and immature."

Other firms have found that mass participation in decision-making can improve efficiency. The workers' intimate knowledge of the shop floor and their years of practical experience allow them to envision improvements to which management had been blind. Moreover, by showing some respect for worker creativity, management naturally encourages it. Also, when they have some control over their work, workers feel less alienated from it and perform it more energetically and conscientiously.

Matsushita Electric

The Matsushita Electric company bought out Motorola Television in 1974. Motorola had been steadily losing money and Matsushita, which had a long history of success with workplace democracy, decided to democratize the plant. Under the old system, Motorola had left workers completely in the dark about how and why management decisions were made. Matsushita began to hold manager-employee meetings twice a year to make major decisions by consensus. The change did not make the plant an overnight success, but productivity did increase 25%. Quality, which had also been a major problem under Motorola, improved as well: in the first four years of the new system the rejection rate of 19-inch color TV sets, for instance, dropped from 20% to 2%.

The above examples show only a limited, and rather tentative commitment to democracy. Workers at Matsushita and TI have no control or veto power over management decisions, they simply volunteer suggestions which management can accept or reject as it sees fit—much as the *Parlements* in pre-democratic France advised the King. Management, rather than labor, created these systems and the results indicate that management derives the greatest benefit. But another

more extensive experiment with workplace democracy, at the Rushton Mining Company in Occala Mills, Pennsylvania, originated in the worker's union, the United Mine Workers. Labor-management relations in the mining industry have ranged from hostile to bellicose throughout the industry's history. It would be the last place one would expect to find the kind of idyllic, voluntary cooperation found at TI and Matsushita. However, the Rushton management wanted to reduce the incidence of wildcat strikes and it agreed to the UMW experiment in the hope that it would quell worker discontent.

Rushton Mining Company—United Mine Workers

The experiment began on a trial basis in one section of the mine. Workers in the experimental section gained the freedom to control mining operations. The foreman, formerly an autocratic boss, became a safety consultant to the workers (before his twin responsibilities for safety and productivity had come dangerously into conflict.) By tradition, there had been a high degree of division of labor in the mine. In the new system, miners learned each other's jobs. Crew members, all receiving equal pay, could then rotate jobs when they grew tired or bored with what they were doing. Also, for the first time in history, miners were taught to understand federal safety laws. The results, not surprisingly, showed both an increase in productivity and a decrease in accidents, disproving the pervasive mining-industry myth that profits would suffer wherever safety improved.

In the experimental section, cooperation among workers increased. Formerly, the management pitted each shift against the others in a productivity contest. The rewards for the winners had created an incentive for the various shifts to try to out-perform each other, but they often did so in counterproductive ways. Since output was measured by shift each shift would, as one analyst put it, "leave machinery and supplies in a mess to thwart the next shift's production." Under the new system, in which production was measured on a 24-hour basis, workers began to go out of their way to leave the work area in good shape for the next crew.

Most important, the workers began to identify with the success of the company and used their increased flexibility to help it. One miner said "It used to be when a machine got busted, we'd just sit around, happy like, until the foreman spotted it and called a mechanic. But when a machine breaks down nowadays, whenever we can...we just fix it ourselves."

Another experiment with workplace democracy, at the Harman International Industries plant, grew out of management-union cooperation but extended even greater control to the workers. A joint union-

management board makes company policy while independent committees of workers initiate changes on the shop floor. Now, rather than idle away the hours after meeting production quotas, workers decided that they should either go home early with a full day's pay or, if possible, keep working past the day's quota to gain bonus points which they could accumulate and cash in for extra days off. This provided an incentive to meet and exceed production quotas.

While the spirit of the Harman experiment is generally cooperative, it does not, as some might suspect, do away with individual pride in workmanship. In fact, the workers committees appear to have increased individual pride. They decided that each worker should tag his work so that individuals could be held accountable for poor workmanship or recognized for exceptional quality. As in other experiments with workplace democracy, the Harmon workers thus alleviated quality control problems. The value of carelessly stripped screws lost per day, for instance, dropped in the first two weeks of the experiment from \$40 to almost zero.

In these experiments, and in countless others like them, production, quality, and safety improved. In addition, turnover, absenteeism and tardiness dropped. This experience shows that, by an extrapolation of the "two heads are better than one" principle, increased democracy in the workplace can vastly improve the efficiency of a business. The reality of workplace democracy belies the fears of skeptics who dreaded letting "the monkeys," as one manager put, "run the zoo."

Beyond Productivity

Most of the arguments in favor of workplace democracy have come in the name of higher productivity alone. The above examples show that workplace democracy can increase productivity, which translates into bigger profits for the company. I fear, however, that we may sell short the principle of workplace democracy, and by extension that of democracy itself, if we confine ourselves to a profit motive. For workplace democracy, like its predecessor "political" democracy, serves moral as well as economic ends. Democracy will not always succeed in saving the company money. It has failed in some cases in the past to do so. But democracy brings other benefits which are just as, if not more, important.

When it aids productivity, workplace democracy does so primarily by improving the psychic well-being of the workforce. If the corporation's rate of profit does not reflect the improvement then it is the instrument of measurement that has failed, not the democratic system of production. The institution of democracy in the workplace has often been followed by the spontaneous creation of factory-based or union-based education and daycare programs. These reforms, by which the workers take greater responsibility for life in the community, simply did not occur when they got no practice taking

responsibility inside the plant. If entrusting larger segments of the population with control over their work leads to such improvements in social life, workplace democracy has succeeded and we need no other index of success. In fact, to attain such badly-needed social improvements, we should be prepared to sacrifice, when necessary, a measure of productivity. If we want democracy to work, we must make a moral commitment to it because it is best for all in the long run and not simply treat it as a business scheme to increase profits.

Workplace democracy would be the beginning of the extension of democratic control to the American economy. The next step could include such programs as community-owned utilities with popularly elected boards of directors, or community takeovers of runaway shops, such as the Youngstown, Ohio steelmill, which are vital to the local economy.

Can it Work?

I can hear the protest ringing out that the voters, already uninformed about the elections they now participate in, invariably elect ineffectual clowns, crooks, and second-rate actors to public office: god forbid they should be allowed to elect the same types to control our economy. But the competent managers in today's private sector would not suddenly disappear. They would be the natural candidates for public office in publically controlled businesses.

And the public, which would be free to choose, would be more likely to inform itself about candidates because its economic well-being would depend, in a direct and apparent manner on the outcome of the elections.

In today's political system the voters, through their laziness and ignorance, allow government to fall into incompetent hands—and allow it to come under the influence of moneyed pressure groups—because they feel, not without reason, that government makes little difference in their lives. But when democracy works at the grassroots level—in a factory for instance—the voters show they can and do make responsible, well-informed decisions. If we all had a similar stake in our vote, if our vote had some teeth, we would cast it more carefully and conscientiously. That is the beautiful thing about the growth of democracy: it not only improves the economy, it improves democracy, by making it more responsive and more thorough.

Alfred E. Smith, the great New York governor, once said "All the ills of democracy can be cured by more democracy." We have seen monarchy, aristocracy, and slavery fall into democracy's wake; we have seen the franchise grow to include women, blacks, and 18-21 year olds; yet American democracy still has its ills. America has become as disillusioned with government as it has with work. Government is distant, obscure, and ineffectual. If we hope to restore faith in the checks and balances of our constitutional system, we must extend them to the real world of economic production and exchange. ●

The Sadat Legacy

Keith Hansen

There is a story that used to be told in Egypt about Anwar el-Sadat. It is said that while he was being driven home from Gamal Abdul-Nasser's funeral, his car came to a fork in the road and Sadat's chauffeur stopped to ask the new president which way to turn.

"Which way would President Nasser have turned?" Sadat asked.

"Left, sir," the chauffeur replied.

"Then signal to the left and turn right," Sadat said.

The anecdote, though apocryphal, is an accurate metaphor for the way the late President Sadat was able to assume power, slowly coax an anxious and uncertain nation to his side, and finally turn Egypt completely around in its domestic and foreign policies, earning himself a reputation and a legacy no less honored than those of Nasser. His vision, like that of so many leaders, was to do whatever was practical to keep Egypt a healthy and prosperous nation, even if it meant abandoning quixotic goals and outdated philosophies. His genius, like that of so few, was to use his personality to sway Egypt's allies and enemies as well in pursuit of his ends.

Today President Hosni Mubarak faces much the same situation. He has taken over an Egypt shocked by the violent death of its ruler and wondering how its largely unknown new president can hope to lead with the same tenacity and vision as the departed one had. Though it is healthier and more stable than it was in 1970, Egypt is still dependent on a superpower and faces strong opposition in the Arab world. At home, Mubarak will have to deal with Egypt's huge trade deficit, with a national debt service that eats up 40 percent of its export earnings every year, and with the rising religious discontent that threatens to rend the nation and may well have led to Sadat's assassination. Abroad, Egypt has not returned to grace with the moderate to radical Arab League since it was ostracised for signing what the League considered a "separate peace" with Israel. For Egypt's economic well-being as well as its security and ideological identity, Mubarak will have to move sooner or later toward a reconciliation.

How Mubarak aligns Egypt and how successful he is in appeasing his offended Arab neighbors and further easing Egypt's economic woes will depend almost entirely on how well he is able to use his personality to earn the trust of his people and his great power to pressure Israel and the United States into including the Palestinians in any future peace plans.

It is always tempting in the study of politics to place too much emphasis on the roles of individual leaders when assessing policy moves, but in the case of Egypt, such emphasis is often correct. Foreign and economic

policies are determined by a handful of people at most, and often just by the president himself. To review the differences between the pan-Arabist Nasser and his pragmatic successor and assess the shifts in Egyptian policy that resulted is to show that personalities indeed matter, and will continue to do so.

Throughout the first half of the twentieth century, and especially after the creation of Israel in 1948, Arab nations maintained that the Arabs were of one heritage and belonged together as one nation. Egypt, by far the largest of the Arab countries, emerged as the leader of pan-Arabism in the 1950s partly because of its long history as an established state and partly because of the strength and conviction of its president, Gamal Abdul Nasser. Many pan-Arab alliances were tried, most notably the United Arab Republic of 1958-1961 that joined Egypt and Syria. But national rivalries and the intimidating power of Nasser's personality doomed all such efforts, shifting Arab alliances and enmities almost by the month. Still, if they could not achieve unity, the Arab states thought it a great achievement to be free at last of foreign domination; they could take pride in the relative autonomy of the region.

So when the Arab world was shattered by the Six Day War of 1967 and Nasser, still considering Egypt the leader of pan-Arabism, had no choice but to create a military dependence on the Soviet Union, he and the other Arab nations felt he had made a serious concession.

But Egypt needed serious concessions. It was suffering a severe deficit in its balance of payments caused by its involvement in the 1962 war in Yemen. Because nationalizations in 1962 and 1964 had taken over all industry, banks and insurance companies, no private initiative was possible. The land reform Nasser had attempted did little to ease the agricultural problems of a nation which could claim as arable only four percent of its land. Moreover, the territories lost in the Six Day War also meant lost revenue from the Suez Canal, Sinai oil, and tourism. In 1970 Egyptian industry was contributing no more to the national income than it had in 1960.

Within the Arab world, Egypt faced no less difficulty. Radicals were urging revolution, and all Arab nations—as well as the Palestinians—had become disillusioned with erstwhile leader Egypt after the near total defeat. Egyptians and Arabs alike needed something to be proud of, something to unite behind. In one political scientist's words, Nasser "rose from the defeat on the popular need to believe in something."

Thus Nasser, without a viable economic plan and united with King Hussein in his desire to recover the territories lost in 1967, asked for military aid from the Soviet Union and encouraged a united front comprising

'For his achievements towards Egyptian peace, security, and prosperity, Sadat has no equal.'

Syria, Iraq, and Jordan in the hopes of keeping the Egyptian people's minds off the domestic problems. And since out of deference to the 300,000 Palestinians left homeless after the Six Day War, Nasser refused any compromise with Israel, his primary goal with the Soviet's help was to prepare for yet another war.

The Soviet Union accepted his offer. By the fall of 1967 it had replaced 80 percent of Egypt's lost supplies, and by 1969 Egypt had returned to the full military strength it possessed on the eve of the Six Day War. But with the supplies had come thousands of Soviet advisors on whom Egypt was dependent and because of whom its international standing would be damaged. Nasser was concerned but for the moment helpless.

In 1970 Nasser made it clear that Egypt was not a Soviet satellite by signing an American-sponsored agreement, ending the war of attrition had had launched against Israel. Having already offended Yasir Arafat and his Fatah faction of the Palestine Liberation Organization (PLO), Nasser pushed relations with Arafat beyond the breaking point when he admitted that without the means to make war, Egypt had no choice but to make peace—at least for the time being.

Though he departed Egypt in economic disaster when he died in 1970, in his time Nasser had used his forcefulness and charisma and the unique power of his office to keep Egypt free of domination until the 1967 War, to keep intact a nation rife with domestic and international woes, and most importantly, to keep alive the dream of Arab unity that—however anachronistic—sustained the Egyptian people throughout their crises.

Sadat's rule

Anwar Sadat, though his goals were opposed to Nasser's, copied his predecessor's style almost exactly in his eleven-year rule. Having taken over an Egypt wrought with economic and social ills and falling quickly from the pinnacle of Arab leadership, Sadat, a pragmatist, realized that Egypt's economic well-being had to take precedence over its status in the eyes of Arab nations. He realized that with the death of Nasser Egyptians could more readily accept the end of pan-Arabism as a realistic goal, particularly if it were replaced with economic growth and greater stability. He recognized the opportunity to foster great changes.

But he also knew that he was unknown and under close scrutiny of all pretenders to the Egyptian seat of power. Nasser's image would always be revered in Egypt. Sadat appreciated that he would have to move slowly, deferring to the people's love for Nasser while at the same time showing them that a gradual change in policy was Egypt's only hope for peace. To this end he, like Nasser, used his courage and diplomatic acumen to sway Middle East priorities and alignments in his favor.

He began slowly and without much success. In 1971 he purged many leaders in Egypt who favored closer ties to the Soviet Union, then in 1972 expelled all the Soviet advisors in his country on a week's notice. He hoped that kicking the advisors out would demonstrate his willingness to work with the West, perhaps resulting in an arms deal or a peace initiative from Washington. But since he had removed the advisors before consulting the United States, he had forfeited his bargaining chip and had no leverage with which to pressure the Americans. The United States, pleased with the Soviets' expulsion but still regarding Egypt as an enemy of peace, offered Sadat nothing.

Now Sadat stood where Nasser had six years before in the wake of the 1967 War. Egypt was suffering from a stagnant economy and the stigma of the 1970 defeat and Israel and the United States were so powerful and intent on maintaining the status quo that they had no reason to consider making concessions to Egypt. Thus Sadat, like Nasser, had no choice but to invite the Soviets back and prepare for war. But unlike Nasser, Sadat wanted war not to conquer Israel as much as to shock it and the United States out of their complacency and to the peace table to regain for Egypt the lost territories and gain the peace and trade it needed so badly.

On the eve of the October War of 1973, Sadat knew three things: (1) Only the United States could make Israel withdraw from the territories occupied in 1967 and thus make peace possible; (2) Egypt could endure only one more war, and thus the Soviet Union would no longer be wanted or needed as an ally; (3) Egypt desperately needed economic help from the West. He also knew that a rapid, successful attack on Israel was the only way to see these three priorities through.

So Sadat launched the war that would become Israel's most frightening near-defeat in its 25-year history. Armed with portable Soviet SAM-6 and SAM-7 anti-aircraft missile launchers, the Egyptians were able to nullify the Israeli air force long enough for their tanks to break the neglected Bar-Lev line of Israeli defense and drive into Israeli territory. Though Israel eventually won the war when Egyptian tanks drove beyond their air cover, Sadat had succeeded in shattering the Israeli image of impregnable borders and convincing the Israeli government that peace was the only final guarantee of security. In a country as geographically narrow as Israel, any breach of a border poses the immediate threat of cutting the nation, Israeli forces, and supply lines in two and insuring an Israel defeat.

Sadat saw his chance to move both the United States and Israel to his aid, so by combining his power of persuasion with the broad powers of his office, he earned the ear of Washington. Having shown the West his sincerity by realigning Egypt from the radical Cairo/Damascus/PLO tripartites to the pro-American Tehran/Riyadh/Cairo trio, he approached then

Secretary of State Henry Kissinger and demanded peace talks "then and there" in 1974, without the Soviet Union. Excluding the Soviets was a tempting offer for Washington, since until that time it was supposed that Moscow would have to have a role in any Middle East negotiations. To prove that he meant to break with the Soviets, Sadat announced at the same time that Egypt would diversify its arms suppliers for the first time in 20 years, and then went to Paris to shop for weapons.

The United States reacted quickly to Sadat's gambit. Kissinger began a round of his shuttle diplomacy while the Soviet Union, left with no role to play in peace or war, stopped arms transfers to Egypt. Two years later Sadat officially broke the Treaty of Friendship that had bound Egypt to the U.S.S.R., and Egypt's years of Eastern orientation were over.

At the same time, Sadat was working his diplomatic magic in the Egyptian economy. He changed Egyptian domestic policy to an open-door economy called "The Opening," inviting foreign capital, encouraging the long-dormant private sector, lessening the role of the former vanguard Arab Socialist Union, and trying to maintain Egypt independent of the superpowers. The move brought investment from Iran, Saudi Arabia, and the United States—Egypt's new regional and global friends—and the economy began a slow recovery.

Peace with Israel

By 1977 pressure was mounting on the Egyptian president to finish what he seemed to have begun and make peace with Israel. Leaned on by business interests to get peace and save the militarily choked economy—one-fourth of Egyptian GNP was still going to defense—not wanting the Soviet Union to have any role in the peace process, and intent on remaining independent at least in name from the superpowers, Sadat resisted American pressure to make peace with U.S. network television that he would be willing to go to Jerusalem and address the Israeli Parliament.

Israeli response was immediate and ecstatic, and Sadat's trip was the beginning of what ultimately resulted in the Camp David accords and the Egyptian-Israeli peace treaty. With them came Egypt's final break with pan-Arabism and with anti-Israeliism, concluding what became known as Sadat's "de-Nasserization": the reversal in one decade from being a radical state on the periphery of the Soviet bloc to being a pro-Western nation promoting a peace process both for its own interests and for the long-term betterment of the region.

Anwar el-Sadat was killed last month by some of his own troops, probably out of his unwillingness and inability to incorporate extremist Muslim groups into the new moderate Egyptian state. The issue of religion in Egypt is one Sadat never properly addressed nor mollified; history can make no excuse for him.

But for his achievements toward Egyptian peace, security, and prosperity, Sadat has no equal. In his pragmatism, he realized the permanence of Israel and the impractical emptiness of pan-Arabist rhetoric. In his

patriotism, he realized that his country could not survive without massive economic assistance and major global realignments. In his courage, he achieved both ends, using the persuasive force of his personality and the power of his office to do so.

Sadat firmly believed that, as he told Egypt in March 1978, "Peace is much more precious than a strip of land," and not even the threat of ostracism by the rest of the Arab world could dissuade him from his goal. For the vision that let him signal left—pay lip service to Nasser's memory and the Egyptians' reverence for him—while turning right—guiding Egypt toward a peaceful and prosperous future—Sadat has left his nation the rarest legacy among leaders. He has left it the legacy of an active, rather than a passive, ruler; a man who has himself steered history rather than merely allowed himself to be guided by it.

Egypt under Mubarak

It is a legacy Hosni Mubarak should well emulate. He, like Sadat, comes to power in an Egypt surrounded by enemies but in a time ripe for progress. As Sadat could change Egypt's direction once he was free of Nasser's shadow, so will Mubarak be able to rekindle Egyptian relations with the other Arab States once his power is established and Sadat's recent memory has faded. As Sadat's priority was peace with Israel through a more practical assessment of Egyptian needs, so Mubarak's priority should be the re-introduction of Egypt into the Arab world through a practical assessment of the chances for peace without compromise.

Economically, Egypt needs better relations in the region to improve local trade and its balance of payments. Politically, Mubarak stands nothing to lose and the respect of Arabs everywhere to gain by at least making overtures to the nations Egypt so offended in 1977. Socially, Egypt remains an Arab nation and would reap great emotional benefit from once again feeling solidarity with Arab brothers in the region as well as easing the religious problems. Perhaps most importantly, Egypt needs the Arab world for strategic purposes. Without an Egyptian-Arab reconciliation, Mubarak cannot even hope for an expanded peace, since the Arab world will never negotiate with a leader it believes is merely a clone of Sadat, whom they despised as a traitor. Moreover, without a reconciliation, Mubarak's very regime may be endangered from without; an attack by Libya now would find Egypt with few Arab allies.

So far Mubarak is maintaining a firm Sadat line abroad. He has expressed, but not demanded on, the usual Arab request for the inclusion of the Palestinians in the peace process. He has also refused, even if invited, to attend the Arab League meeting in Fez, Morocco this month. In Egypt he has stepped up the crackdown on religious rioting and subversion that Sadat began. For now his eagerness to consolidate his own power, keep Sadat's traditions alive and ensure the

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Indexing for Eternal Inflation

Jim Kilman

Inflation has become so taken for granted in this country that it is now an almost comfortable illness.

While nearly everyone still rails against inflation, calling it everything from an international scourge to a national dilemma, most people have learned to live with "moderate" annual price rises of 10 percent or less. And inflation indexing has become an important crutch in making these spiralling prices comfortable.

It has a solid ring to it. Inflation indexing. And it seems so straightforward—wherever inflation emerges, simply adjust the appropriate salaries, wages, prices or costs, and the disease vanishes.

But, while inflation indexing may mitigate some of the effects of rising prices it may also cause inflation to heat up even more. A nation that embraces indexing could easily end up on a well-greased price treadmill: the more inflation goes up, the more indexed wages and prices rise, spurring even quicker inflation.

The Israeli example

Take Israel as an example. Most everything there is indexed, from wage levels to bond prices. And, to the Israeli man-on-the-street, it must seem like a good thing because his country last year faced a rise in its consumer price index (CPI) of 131 percent. If the average Israeli worker didn't have an indexed salary, he could quickly find himself at the short end of this 131 percent inflation.

Israel hasn't always had unruly inflation, however. Despite belligerent Arab neighbors and a bad—from an economic standpoint—habit of getting into wars, Israel in 1970 had an inflation rate of only 12 percent. Probably spurred by the Yom Kippur War, inflation spurted to a 40 percent rate in 1974 and stayed in the 30 to 40 percent range for the next several years. Then, in 1978 it soared from the previous year's 34.3 percent clip to 50.6 percent. In 1979, Israeli inflation topped 78 percent before moving solidly into triple digits in 1980.

Don't jump to the conclusion, though, that indexing is the sole cause of Israel's supersonic inflation. It's not. Israel has had indexing for all of its 33 year history, yet for most of that time has had controllable inflation.

But inflation doesn't spontaneously combust; it must be sparked by politico-economic events. The United States, for instance, had inconsequential inflation until the past decade, when the Vietnam War, crop failures, and oil cartels, among other things, ganged up on the American economic apparatus to set off the current round of price spirals.

The Israeli inflation of the Seventies probably sprang from some of the same causes. Israel's international political situation has always been sticky, a fact which

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has undoubtedly added to the volatility of its price increase through notoriously inflationary defense spending. And the same food and fuel price hikes that afflicted Americans bothered Israelis, although perhaps to a different degree.

Indexing, if not then the Godfather behind chronic inflation, is at least one of his key hit-men. Once some systemic shock such as a Midwestern drought or an Arab embargo has started prices soaring, indexing shoves the price increases into a vicious circle.

As a simplified explanation, assume for a moment that all US wages, prices and profits are indexed to the consumer price index. Assume also that the inflation rate is initially zero.

Now say that drought strikes the Great Plains, halving the American wheat harvest. Wheat prices rise considerably—because of the Law of Supply and Demand—and so cause the prices of bread, flour and similar wheat-based products to soar.

Since food prices comprise about 17 percent of the CPI, if such a drought caused a 12 percent increase in overall food costs in the year without rain, the CPI would rise two percent. With everything indexed to the CPI, all prices would rise the following year by two percent, causing the CPI to again rise by about two percent. Spurred by the CPI, this cycle would continue ad infinitum with the general price level climbing two percent a year even though wheat prices rose only once.

Lags are the culprit here. Indexing involves increasing wages and prices for the coming year by the current inflation rate, not the rate expected during the coming year. So this year's indexing causes price rises which become part of next year's index. And the vicious circle of inflation indexing begins to spin.

If we remove some of our assumptions, the story changes a little bit but the moral remains the same.

Of course, all wages, prices and profits are not indexed, as we assumed. Take wages, for instance. "Employee compensation" makes up over 75 percent of national income. Of the total labor force, only about 10 percent have indexed wages, according to the Bureau of Labor Statistics.

What is important here, however, is which workers have indexed pay. The Bureau of Labor Statistics estimates that roughly 60 percent of laborers in bargaining groups of over 1000 have cost of living allowances (COLA) as part of their wage packages. In other words, a sizeable portion of such large unions as the United Auto Workers, the Steel workers and the Teamsters have indexed wages.

Unions have not always relied so heavily upon COLA clauses. In 1971, only 28 percent of collective-bargaining units had these COLA escalators. In 1972, this number shot up to 41 percent, then to 51 percent in 1975 and finally, in 1976, to about 60 percent, where it

'Government should be sneaky...use an inflation measure designed to understate inflation so the vicious circle can contract a little.'

has remained.

Union workers have received some very tangible benefits from the fond embrace they've given inflation indexing. Between 1972 and 1978, collective-bargaining units—including those without COLA escalators—have won average wage increases that varied no more than three percent from the previous year's CPI change. Perhaps more importantly, the unions' gains were smaller than year-before inflation in only one year—1975, at the tail-end of the worst recession since the Great Depression and right after 1974's abnormally high inflation.

The preponderance of union laborers with COLA clauses has an important ramification, even though collective bargaining covers only about 10 percent of the labor force. Cost-of-living increases tend to trickle down from union workers to non-union laborers and trickle up to salaried employees.

This phenomenon can be loosely ascribed to a keep-up-with-the-Joneses psychology. Non-union blue-collar workers want their wages to correspond to a constant proportion of comparable union wages, and so will try to match any union wage gains. If, for instance, unorganized textile workers get 80 percent of the industry's union wage and if the union win a 15 percent pay hike, then the non-union workers will demand a 15 percent raise so they can maintain their earning power relative to the unionized textile employees. The Ten Commandments, unfortunately, don't say anything about coveting your neighbor's wage.

Non-union wages, besides being pulled from above by indexed union pay, are pushed from below by the increasing minimum wage.

Laborers making more than the minimum wage want to keep on making more than the minimum wage, even if it goes up. Luckily for those who dislike inflation, the minimum wage is not indexed to inflation—yet. But Congress has been quite diligent about raising it roughly in line with inflation. While the minimum wage has gone from \$1.60 in 1971 to \$3.35 this year, a change of 109 percent, the CPI has soared from 121 to 269, a 122 percent rise, during the same ten years. Over that timespan, the minimum wage has remained at a steady 45 percent of the average hourly earnings of manufacturing production workers.

At the other of the pay spectrum—usually—salaried employees demand that their take-home pay rise at least as fast as union wages. They want to stay ahead of the Joneses.

Despite the importance of wages in the economy, workers don't make the economy click along just by holding hands and singing. They need tools to work with and "stuff" to work on.

The tools—capital, loosely—have a price: interest. Although it is one of the CPI components, interest is not indexed and tends to operate in a free-market situa-

tion or at least a close approximation of one. Interest rates, however, are very sensitive to inflation and inflationary expectations precisely because they are set by a well-run market. So, while interest doesn't contribute directly to index-induced inflation, it does have an indirect effect: today's 15 percent long-term interest rate includes an allowance of 12 percent or so for future inflation, which the market sages determine by factoring in price increases caused by indexation.

Interestingly (excuse the pun), the lag in this case works backwards, since the expected future inflation rate partly determines the current interest rate which forms part of present and future inflation. Interest rate markets, therefore, though not themselves indexed, certainly don't mitigate the ill results of indexation and may even serve to magnify them.

If money is the worker's tool, raw materials are the "stuff" with which he works. The prices of raw materials are rarely linked to inflation except when the "stuff's" owners collude as in the 1973 Arab oil embargo. Prices for most raw resources are set in markets that dance only to the supply-and-demand tune.

This "stuff," however, is important as a source not only of dreams but of price shocks. As with our Midwestern drought or the Arab oil embargo, raw material prices can provide the shove that sends the economy into the inflationary spiral.

Transfer payments

Labor, capital and resources would have written almost all of the economic story in the "good old days." But now government must be added to this triumvirate. Transfer payments, for instance, account for between 10 and 15 percent of national income. And a good number of these are indexed, particularly Social Security. That this indexation is significant can be seen by looking at last July's rise in personal income, which economists attributed largely to the semi-annual Social Security inflation adjustment.

While transfer payment indexation feeds inflation in the same way as COLA clauses do, tax indexation may have a more ambiguous impact. Indexing the personal income tax means adjusting the bracket levels upwards by the inflation rate, which keeps nominal income hikes from forcing taxpayers to pay higher real taxes. As legislated in the Economic Recovery Tax Act of 1981, the federal income tax will be indexed beginning in 1985.

From the consumer/taxpayer's standpoint, tax indexation has an effect entirely the opposite of other forms of indexation. CPI-linked prices and wages confront the consumer with higher costs; CPI-linked taxes create small tax-burdens. Which means, that if personal income taxes were included in the CPI, indexation of them would exert a stabilizing influence on that measure

of inflation. But, as might be expected, such taxes are not part of the CPI.

So what, then, is the effect of tax indexation on inflation? The obvious implication, of course, is lower taxes for Mr. and Mrs. Consumer. If this happy couple focuses on their net income as their measure of happiness, as theory says they should, they will not push for as great a wage increase because, with lower taxes, they can have the same net income with a lower wage. If they don't push for a higher wage, then inflationary pressure in the labor market will ease, stabilizing prices everywhere in the economy.

The key word here is "theory," because this rosy scenario assumes that Mr. and Mrs. Consumer don't worry about their nominal—as opposed to real—wage level, as they might very well do. It also assumes a quite rational line of behavior, and a very precise feeling in the Consumer household for the exact state of their finances. If the Consumers don't realize that the indexing scheme has presented her with an extra \$100 in 1985—they won't, after all, receive a check from Uncle Sam—and instead assume that their slightly improved financial situation resulted from the year of hard work which they performed and for which they are underpaid, then this economic picture begins to fade.

There are two other inflationary implications to tax indexation. One fits the traditional "demand-pull" scheme: since indexation lowers taxes, it gives consumers more dollars to spend, which they do spend, causing more dollars to chase the same number of goods, driving prices up. It is important to note here that much empirical evidence and economic theory points out that consumers save relatively little of any income gain that befalls them.

The other implication could be labelled the Canadian Experience. Canada indexed its personal income tax system in 1973, right before the original oil price shocks. According to the *New York Times*, Canada's Mr. and Mrs. Average saved \$289 of their \$20,000 1981 income because of this indexing.

A Source of Soaring Deficits

But what the Averages saved, the Canadian government lost. And, because it has found spending constraint difficult, Canada has seen its budget deficit soar to five percent of GNP. The U.S. budget deficit, by comparison, constitutes just over two percent of GNP.

The drawback to such a large budget deficit is that it must be financed. The government must issue bonds to raise the money to pay the deficit. These extra bonds create more demand for credit, which drives up the interest rate. Higher interest rates, as we've noted, mean a higher CPI.

Tax indexation, then, may constitute an inflationary Damoclean sword, especially if government has a hard time controlling its spending urges.

Alright. If wages and taxes are indexed already and interest rates play into the indexing scheme, isn't the damage already done? Isn't the vicious-circle

mechanism of inflation indexing already in place? And perhaps already spinning?

Yes, apparently. But the damage is not irreparable. Inflation indexing, because it is a relatively new feature of the economic infrastructure, could be altered relatively simply.

But it is important that changes be made before 1985 when tax indexation is scheduled to go into effect.

Clearing the 'Indexation Thicket'

The most radical modification of indexing would be to eliminate it altogether. Congress could outlaw the linkage of prices and wages with changes in the CPI. It also could repeal the tax indexation feature of the Economic Recovery Tax Act of 1981 and could eliminate indexing of transfer payments.

Such a blast-away-with-both-barrels approach would have two principle benefits: it would get rid of the vicious-circle mechanism and gut the inflationary expectations effect of indexing.

But such an approach would not be easy to pull off. Prohibiting COLA clauses would be administratively tricky and would constitute unnecessary interference in the labor market. Tax indexing, since it hasn't begun yet, would be comparatively easy to eliminate. Abandoning transfer payment indexation, which benefits the poor and elderly, on the other hand, could prove prickly politically because it would injure a good number of underprivileged people.

There is another path out of the indexation thicket, however, a path which represents more a modification of current conditions than a radical alteration.

First, government should eliminate tax indexation before it is put in place. This move would hurt the taxpayer, but it would help return the economic system to human control. Taxpayers would continually clamor for relief from their increasing real tax burdens and Congress would have to give it to them. But Congress could control the timing and size of such a cut to take into account deficit problems and the nation's economic strength. Tax indexation takes away Congress' discretionary powers and hands the decision-making over to an unmanageable mechanism.

One important point here: tax indexation ought to be scratched before 1985, before it goes into effect. If it isn't, the U.S. would find, as Canada does, that revoking established tax indexation is politically unpopular and could lead to substantial fiscal drag.

Second, government should eliminate transfer-payment indexation, but without leaving orphans and grandmothers out in the cold. Uncle Sam should replace indexing here with discretionary authority to raise benefit levels. Congress or some body appointed by Congress could decide when and how much to raise transfer payments by balancing the demands of the needy against the demands of the budget and the economy.

Such discretionary increases, it should be emphasized.

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Review: The World According to Bart

The University and the Public Interest. By A. Bartlett Giamatti. 184 pp. New York: Atheneum. \$12.95

Michael Froomkin

One can almost feel sorry for the people who hear President A. Bartlett Giamatti rather than read him. Reading the first book of his collected speeches, *The University and the Public Interest*, one cannot help but be struck by the witty, urbane, and professionally complex nature of the typical Giamatti utterance. The wit and the urbanity tend to shine through in the spoken address; the subtleties, the precision and the occasional artful ambiguity all tend to get lost without the reflection the printed page allows.

The core of this thin and basically unpretentious book are the speeches Mr. Giamatti has given since he assumed Yale's Presidency three and a half years ago. Many were Freshman or Baccalaureate addresses. The others, which may be newer to Yale readers, have appeared as essays in the *Alumni Journal* or other magazines. The collection is framed by two brief new essays which combine with the world view of an English Professor turned university president to give the book what structure it has. Several of the ideas in the book will be familiar to anyone who reads the *Yale Daily News*, or the *Weekly Bulletin*, or has ever listened to Mr. Giamatti for more than half an hour. This is not to suggest that the book or the President are boring—only to note, as Mr. Giamatti forthrightly does in the first words of his Preface that,

These various essays contain no new legislative programs for action, no policy initiatives. They were written at different times in the last three years, for different occasions, with one common goal: to explore the nature of our institutions for education and the purposes for which those institutions are intended. The institutions themselves are varied; language is one, private universities another, the federal government is yet another, and our public schools. I am concerned with the civic goals of education...

Although the collection contains a substantial amount of Yale trivia—who, after all, cares today about the makeup and mission of the Faculty Committee on Athletics?—important themes permeate most of the essays. One, the university-government relation of the title is frankly political. Another, the use of language, at first seems more lyrical, but is actually political as well.

Yale and the federal government

Mr. Giamatti's view of the private university's uneasy relation with the federal government begins with the inescapable fact that today private universities could not get along without federal money. Without federal loans students would find it even more difficult to pay tuition; some would find it impossible, "unless indebtedness is to become as ingrained in the middle class as self-

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loathing is." The federal government funds almost three quarters of the basic research done in private universities today. Without it, Yale's science program might well shrivel up and die.

But federal largess brings with it some very dubious side effects. Government bureaucracies are, Mr. Giamatti writes, congenitally incapable of understanding universities. Through ham-handed regulation and pointless paperwork they either waste the university's time and money or, more seriously, actually threaten its mission. Although the few examples in *The University and the Public Interest* tend towards the endless, stupid paperwork type, Mr. Giamatti clearly believes that academic freedom itself may soon be threatened by a tendency towards bureaucratization and an unhealthy reliance on a government which could exercise its immense financial leverage at any time.

There is, however, another, more immediate danger. The quest for a steady supply of government funding forces the academy into the political arena, where it becomes just another interest group:

In the next difficult years, those private institutions most dedicated by tradition and mandate to spurring the young to public interest will be forced to become the newest special-interest group. To convince sources of public support to support them, for the greater good, they will have to plead even more for their private concerns. They will be driven to it by the will to survive.

Where the academy should be teaching "civic values" and serving "the broad interests of the public," it will be forced to "behave in a less and less public-spirited way."

Hunting the corporate dollar

Other than delivering continual warnings ranging from the scold to the jeremiad, designed to keep the universities faithful to their mission, Mr. Giamatti's strategy to stave off the two unhappy fates of regulation and selfishness appears to be to take the academy's case to the marketplace.

Because federal money brings federal control...money will have to come from other sources than the government. Institutions that do not have the capacity to make profits cannot subsist only on defiance, rhetoric and the aspiration to quality. Therefore one turns to the other part of private sector, the corporate part...

If the corporate part of America truly wants certain of its convictions set forth, in ways that insure the integrity of non-governmental alternatives and the precious values of free inquiry, and of a life relatively unencumbered by federal regulation; if the corporate part of the private sector is really interested in a free market—of ideas—then it ought to act on its convictions.

No one will disagree that universities should diversify their support, if corporate funding which "does not re-

'One wonders if simply saying that private education serves the public good will do the trick, no matter how well it is said.'

quire some political tilt or ideological coloration" is actually available. Mr. Giamatti seems to believe that corporations can be persuaded to give more to universities without expecting an obvious *quid pro quo* (although the passage above comes awfully close to implying one); one of the intentions of *The University and the Public Interest* may in fact be to persuade corporate executives that such no-strings donations are in their and in society's long-run interest. Fine. Not everyone, however, will share his optimism.

Mr. Giamatti cannot be stereotyped as mindlessly "pro-business" and "anti-regulation." In every instance where he attacks "regulatory tentacles" which he says menace Yale, he also speaks eloquently about the benefits of careful regulation (especially elsewhere), and of the government's right to demand an accounting for its money. Similarly, whenever he speaks of a *rapprochement* between the corporation and the university, he is quick to say he intends to protect academic freedom. Unfortunately, readers who hope for a long, thoughtful discourse on the ways in which the hunt for the corporate dollar can twist a university's priorities, such as the one by Derek Bok in the May/June issue of *Harvard* magazine, will be disappointed. (Harvard, it is only fair to point out, has probably sold more of its soul than Yale has. It is not clear whether Yale deserves this compliment for lack of trying or for lack of takers.) To the extent that universities can balance potential government encroachments against potential corporate pressures, we all gain by having the level of corporate giving rise.

One wonders, however, if simply explaining that private education serves the public good will do the trick, no matter how well it is said. Surrender to corporations is hard to detect and correct; there are no laws or regulations to contest, no Congressmen to buttonhole. If corporate giving ever becomes significant, university communities will depend on the good faith of administrators not to quietly betray principles or, more likely, reshuffle priorities for donations. Mr. Giamatti may feel that any administrator who is selected and supervised by the Yale Corporation or comparable bodies at other universities is obviously above bending before such blandishments; he must be aware that some others are less trusting.

The art of language

"I believe that all of us are what we say we are," Mr. Giamatti writes. Much of *The University and the Public Interest* deals with forms and study of expression. The best-written essays, notably "The Apocalyptic Style" (Freshman address to the class of 1984), offer a critique of an existing mode of discussion. At its best, this kind of analysis foreshadows Mr. Giamatti's recent speech on the Moral Majority (not included in this collection);

Throughout the Western world, the decline of the West is feared, and that fear feeds itself. In American, self-consciousness is acute, and keen is our sense of anxiety about our advancing accumulation of responsibility and failed effort. We hear on all sides that we are weak; that knowledge is exploding unmanageably; that the pace of uncontrollable events is exacerbated by instantaneous communication; that technology is a beast chasing its own tail; that ideology is insufficient to an exploding reality; that the family is in decline; that traditional values are devalued; that standards, for work and play and quality of life, are gone.

I believe the new wisdom of a century's end is really only fatigue masquerading as philosophy.

At its worst, in a 1975 essay on "Sentimentality," the social activists of the 1960s are in effect caricatured as the "Filthy Speech Movement."

Many of the essays discuss why languages should be studied and values. It should be no surprise that a former professor of English and Comparative Literature writes, at some length, about the poor quality of student writing, the need to improve it at the high school level, and the value of foreign language requirements in college. Throughout the collection, the humanities are praised, and their defense is repeatedly pledged.

Students are curiously absent as thinking individuals in *The University and the Public Interest*. They were the recipients of many of the addressess, but, as the title suggest, this is a book about the organization care and feeding of the academy (and to a lesser extent of academics themselves). There is the mandatory warning against single-minded pre-professionalism, tempered with the remark that,

Vocationalism, the urge to be professional early so as to have something later, is lamentable, understandable and manageable. There is no point in making students feel guilty about it, or in pretending that work in the world is beneath them, or in flaying today's student because he is not yesterday's, living in a van in Vermont.

Students figure often as the raw material and end products in the good citizenship sausage-factory that Mr. Giamatti's idealized public-spirited private university tends to resemble. Indirectly, perhaps, they are the beneficiaries of the entire structure; they are rarely the subject of examination except as objects to be taught, molded or inculcated with the proper, democratic and pluralistic, values.

The University and the Public Interest contains a variety of other elements. Among them is a short version of "Yale and Athletics" which makes it seem rather tame, considering all the fuss it caused when it was delivered before the Association of Yale Alumni last year. In any event, few of its major recommendations have yet come to pass. There are also a pair of essays on Yale and science, and some meditations on the state of the polity,

(I see) signs that some now feel licensed to shove against the less numerous, the weaker, the new, the exotic, the foreign. I

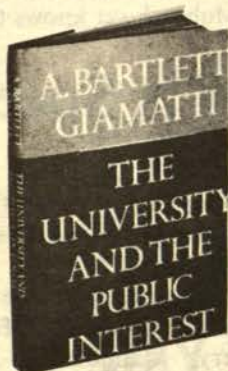
smell that spirit in the air and read it in the papers. I see it in the mail I get, I read it spraypainted on walls... We must civilly, but absolutely clearly reject a spirit that instinctively turns to boycott, instead of tough, reasoned debate, to express its disagreement. We must publicly reject the movement that once again cries to ban books in libraries. We must insist on law, not on rule by decree; we must insist that the principles of the Constitution be applied through the courts and resist the desire that the Constitution be endlessly amended.... (Those who simply, arrogantly assert that their morality is in the majority should not expect others who simply do not believe it to stand mute. A civil society can be shattered by the kind of coercion that now seeks to become commonplace.

Running for office?

The question inevitably arises, despite Mr. Giamatti's frequent and vehement denials, whether perhaps he plans to run for national office some day. After reading *The University and the Public Interest* one may well be inclined to heed Mr. Giamatti's injunction that people are what they say, and believe that he honestly is not a candidate: the passage quoted above immediately follows several pages in which Ralph Waldo Emerson is blamed for the American pursuit of unrestrained power. It's fun to read, but it's hard to imagine someone scoring debating points with it on national television. This is an academic's book, not a politician's. ●

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Inflation Indexing

Continued from page 14

ed, are more flexible and less inflationary than automatic, mechanical increases simply because they are unpredictable. The indexation mechanism cannot balance a variety of economic factors, and because it can't, inflation results. Take lags, for instance. Information lags are one of the principle flaws in indexing but do not affect discretionary choices because they decision-maker's can consider every current economic factor in making a wage or benefit increase. Unlike indexation mechanisms, they can look beyond last year's CPI change.

Third, government should be sneaky. The Bureau of Labor Statistics should change its measure of inflation. The CPI comes under heavy criticism for inaccuracy because it gauges price increases as they affect only a limited number of goods, weighted in a somewhat arbitrary fashion. This inaccuracy wouldn't be so important if it didn't tend to overstate inflation. But, because the CPI makes inflation seem worse than perhaps it really is, the use of this measure makes indexation even more dangerous and makes actual inflation more rampant.

The solution is to use an inflation measure designed to understate inflation, which is what West Germany's *gague* does. Then, the Bureau of Labor Statistics can publish this figure every month instead of the CPI. If COLA clauses relied upon this too-small measure, indexation would be less painful because, each time around, the vicious circle would contract a little instead of expanding as it now does. The Bureau of Labor Statistics may have started down this path recently when it announced that the highly-inflationary housing component of the CPI will be revised downward. The change, as the *Times* put it, "would result in reduced increases for millions of Americans whose benefits or wage rises are tied to the index."

These three steps won't rid the United States of inflation. To do that would require a substantial overhaul of the economic system. But knocking the wind out of inflation indexing would remove the threat of institutionalized inflation, inflation that once started is next to impossible to stop.

Without institutionalized inflation, price level increases would occur for traditional reasons, such as energy shortages or surplus money supply. Inflation then might be of a more traditional size, almost certainly in single digits. And economists could treat such inflation in the more traditional manner, with fiscal policy such as tax hikes and monetary policy such as credit tightening. Which, of course, traditional economists would like.

Untraditional economists, however, might not be so amused. After all, they'd be out of jobs.

Which, in traditional theory, would help fight inflation. ●

Letter: On Affirmative Action

Morris Panner

To the Editor:

In his article, "Means and Ends of Racial Equality," (Oct. 81), Mr. Glick fails to appreciate the difference between minority discrimination and other types caused by various social inequalities. Mr. Glick asserts that minorities no longer deserve special preference from affirmative action, and that all disadvantaged people deserve the same attention. I disagree with these assertions and believe that affirmative action must continue to be specifically for minorities or the problems of prejudice will not be avoided.

I agree with Mr. Glick that society is responsible to ensure an equal opportunity for all. However, minorities have been denied an equal opportunity for decades because of their minority identity. The resulting social and financial disparities cannot be eliminated by declaring "old official discrimination" over. Minorities suffering from current and past discrimination have a unique handicap which requires and deserves special preference. Arbitrarily pooling all disadvantaged groups together, ignoring the effects of the past, becomes an excuse to avoid dealing with the problems of prejudice against minorities.

I also question Mr. Glick's distinction between institutions where minority representation is "necessary" and those where it is not. Mr. Glick misses the point; no institution naturally attracts a certain people—banking is done just as well by Hispanics as by Jews. A non-representative institution is an artificial creation, a sign that either minorities lack sufficient opportunities or that they are being discriminated against. Mr. Glick's limited standards for representation are met when minorities can ride in the front of the bus or drink from the same water fountain.

Affirmative action alone will be unable to correct all inequality in society. Policy makers must separate affirmative action, designed to counteract minority discrimination, from other policies which deal with other social inequalities. In lieu of appropriate social policy, affirmative action cannot be expected to serve as a cure-all for society's disadvantaged, and to judge it with this expectation is unfair. Affirmative action must involve special preferences for minorities because of their unique reason for being discriminated against. By eliminating the specificity of affirmative action, society does not deal with the problem of minority discrimination.

Morris Panner '84

The Sadat Legacy

Continued from page 11

safe return of the Sinai are understandable and wise maneuvers.

But in the long run Mubarak should realize as his predecessor did the opportunity and necessity for broader alignments. If, as he has said, the new president considers the Camp David accords and the peace treaty the cornerstones of a Middle East peace, he should realize the necessity of re-entry into the Arab world. Moreover, he should realize that the Arab nations, which cheered Sadat's departure, will welcome any move by the Egyptians toward compromise and reconciliation. In the past two decades, Egypt has been first the pan-Arab leader and then pathbreaker towards peace. Now it must recover the first role and then consolidate the second.

Two days after Franklin Roosevelt died, on the eve of victory in Europe, the journalist Walter Lippmann wrote of the departed president: "the final test of a leader is that he leaves behind him in other men the conviction and the will to carry on...."

Sadat has passed this final test. Mubarak has the conviction and he has the will. But most importantly, he has the opportunity to use, even more than did Sadat, the power of his position and the trust his predecessor has placed in him to change the course of Egypt's future without undoing its past. Whether his congruence with Sadat's example is to be his true policy or mere signaling while he prepares Egypt for an opposite turn is a mystery to which, true to Egyptian politics of personality, only Hosni Mubarak yet knows the solution. ●

Giamatti's Speech

Continued from page 5

gestalt, a spirit, however many exceptions they also permit. The pretense that this is not so is hypocritical, and intellectually disabling.

It's too bad, finally, because one thing the culture could probably use just now is an infusion of Christian humanism. (Sorry, Maimonides—Judeo-Christian). The interaction of Jews and Christians with the pagan world—Augustine and Plato, Aquinas and Aristotle, Dante and Vergil—has produced, well, the West. It should be a matter of general concern that the tradition has decayed. There is C.S. Lewis, but he is one person, and he's been dead a long time. Maybe it's not in the American temperament. It won't come from Reverend LaHaye. It doesn't look like it will come from time-serving establishmentarians like A. Bartlett Giamatti. ●

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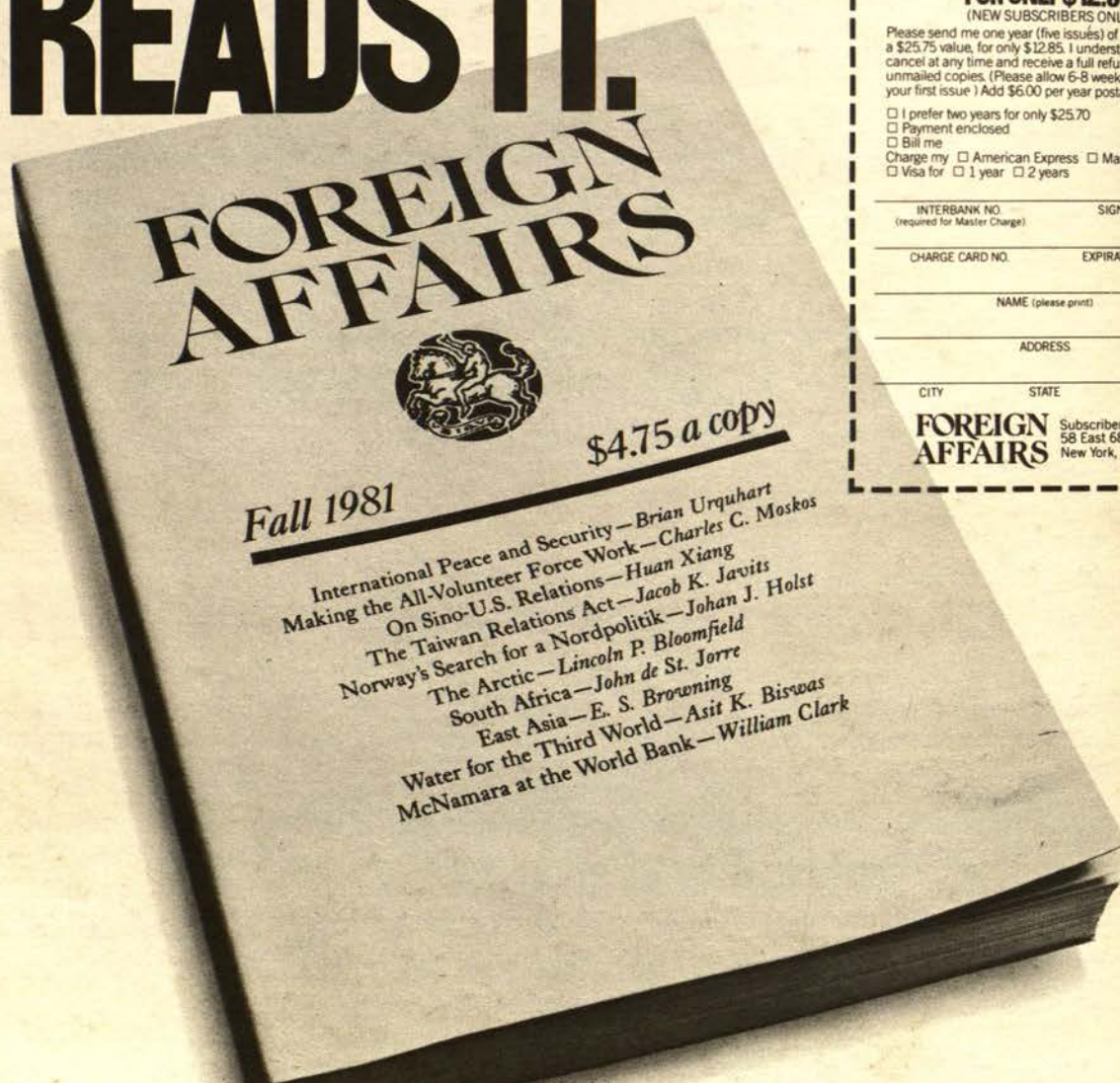
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